



CITY OF CHESTER, PA · ECONOMIC DEVELOPMENT STRATEGY

Prepared for: Trevor Knight, GMD — for review and discussion with Mayor Stefan Roots

# Chester Clean Economy Transition Strategy

A phased economic development framework replacing the nation's largest trash incinerator with a clean industrial manufacturing district, a community health campus, and workforce housing — without the City taking on outsized financial risk.

Merge 4 Design LLC·M4Di™ — Predevelopment Intelligence·Merge4Ward LLC — Forward Building System·  
MaxWellness Community Health Campus Model

**\$58.8M**

ROM total investment ceiling — Clean Economy Platform across three pillars (10-year horizon)

**210**

Permanent jobs ceiling — manufacturing, healthcare, residential support, clean tech operations

**\$21.4M**

Annual gross revenue ceiling — all three platform components at steady state

**\$5M**

Current annual Reworld host fee — the only economic benefit Chester receives from the nation's largest polluter

## SECTION 1 — THE ECONOMIC CASE

### What Chester Has vs. What Chester Could Have: The Numbers Side by Side

The Reworld incinerator generates \$5 million per year for Chester in host fees. That is the entire economic benefit Chester receives from the nation's largest source of nitrogen oxide pollution, mercury emissions, and particulate matter — a facility that burns trash imported from Philadelphia, New York City, and New Jersey, employing relatively few Chester residents while contributing to childhood asthma rates five times the national average. The contracts that feed Reworld are unwinding now. The window to define what replaces it is open. The table below compares the status quo against the Chester Clean Economy Platform at full deployment.

| METRIC                             | REWORLD — STATUS QUO                                  | CHESTER CLEAN ECONOMY PLATFORM & NET CHANGE                                                            |
|------------------------------------|-------------------------------------------------------|--------------------------------------------------------------------------------------------------------|
| <b>Annual City Revenue</b>         | ~\$5.0M/yr host fee only                              | <b>\$4.3M-\$8.7M/yr (tax ratables + land lease + fees) → up to +\$3.7M/yr net</b>                      |
| <b>Permanent Jobs</b>              | Minimal Chester employment                            | <b>120-210 jobs — mfg., healthcare, clean tech ops → +120-210 net new</b>                              |
| <b>Annual Gross Revenue</b>        | \$0 flows to Chester                                  | <b>\$13.4M-\$21.4M gross/yr at steady state → net new to Chester</b>                                   |
| <b>Waterfront Access (3.9 mi)</b>  | Blocked — incinerator occupies prime waterfront       | <b>Restored via brownfield redevelopment → UNLOCKED</b>                                                |
| <b>Air Quality / Public Health</b> | 63 lbs mercury/yr · child asthma 5× national avg      | <b>Pyrolysis, not combustion · EPA stack &lt;10% of norms → EJ REVERSAL</b>                            |
| <b>Tax Ratable Value</b>           | Limited — operating incinerator facility              | <b>\$27M-\$32M in new assessed ratables → +\$27M-\$32M</b>                                             |
| <b>Federal Grant Eligibility</b>   | Reworld presence disqualifies EJ reinvestment capital | <b>EPA EJ, EDA EAA, DOE Clean Energy, PHFA LIHTC, CDFI — all unlocked by closure → \$50M+ eligible</b> |
| <b>Regional Narrative</b>          | Chester = worst EJ case in the U.S.                   | <b>Chester = national model for EJ reinvestment → REFRAME</b>                                          |
| <b>10-Year Investment (ROM)</b>    | <b>\$0 new investment</b>                             | <b>\$37.5M-\$58.8M total (primarily private + grant-funded) → City financial risk: LOW</b>             |

All ROM figures ±30-40% confidence. Not GMP, not funded commitment. For concept and conversation use only. M4Di Phase 1A feasibility engagement produces verified numbers.

**BOTTOM LINE** — The question is not whether Chester can afford the Clean Economy Platform. The question is whether Chester can afford to wait for the Reworld closure without a replacement strategy already in motion. Every month without a plan is a month another developer or municipality defines Chester's waterfront future for it.

## Clean Economy Platform: Investment, Revenue & Jobs by Component

The Chester Clean Economy Platform is a three-pillar strategy, each component independently viable, each reinforcing the others. Pillar 1 targets the waterfront industrial site. Pillar 2 targets the DeShong 13-acre development parcel. Pillar 3 addresses the Crozer campus — currently in private hands — as a future opportunity. ROM figures below are for the 10-year buildout horizon.

### Pillar 1 — Clean Industrial Zone (Reworld Waterfront Replacement)

| COMPONENT                                                                                                | TOTAL INVESTMENT ROM   | ANNUAL REVENUE ROM         | PERMANENT JOBS     | CAPITAL SOURCE                                       |
|----------------------------------------------------------------------------------------------------------|------------------------|----------------------------|--------------------|------------------------------------------------------|
| <b>Ecolomondo TDP Facility</b><br>Tire/hydrocarbon pyrolysis — recovered carbon black, oil, steel        | \$10M-\$21M            | \$4.3M-\$7.9M              | 25-40              | Ecolomondo equity + EDA EAA + EPA EJ grants          |
| <b>Klean/KBR or Nexus Circular (BOO)</b><br>Tire pyrolysis — build/own/operate; no City capital required | Developer-funded (BOO) | \$150K-\$300K land lease   | 20-35              | Klean/KBR equity · City contributes site access only |
| <b>Merge4Ward Mid-Atlantic Node</b><br>CLT/SIP panel manufacturing — Forward Building System             | \$7M-\$12M             | \$6M-\$10M                 | 40-80              | DCED RACP + EDA + grant equity + private             |
| <b>Pillar 1 Total</b>                                                                                    | <b>\$17M-\$33M</b>     | <b>\$10.45M-\$18.2M/yr</b> | <b>85-155 jobs</b> | <b>Primarily grant + private; low City exposure</b>  |

### Pillar 2 — MaxWellness Chester at DeShong (13-acre site · ~5.2 acres developable)

The Deshong Overlay District requires 60% conservation easement (7.8 acres preserved). The remaining 5.2 acres develop under C-1/R commercial standards — offices, healthcare, day care, community recreation, live-work. The MaxWellness compact mid-rise model fits this envelope precisely.

| ZONE                                                                                                                                  | USE                                          | SF (ROM)                  | ANNUAL REVENUE ROM            | CAPITAL SOURCE                                       |
|---------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------|---------------------------|-------------------------------|------------------------------------------------------|
| <b>Zone A — Ground</b>                                                                                                                | Community Medical / Behavioral Health Clinic | 8,000–10,000 SF           | <b>\$420K–\$600K</b>          | FQHC Medicaid, CCBHC grants, operator lease          |
| <b>Zone A — Upper</b>                                                                                                                 | Supportive Housing — HCV / PBRA (60 units)   | 48,000–56,000 SF          | <b>\$972K/yr</b>              | PHFA LIHTC, HOME, HCV contract                       |
| <b>Zone B</b>                                                                                                                         | IDD / Step-Down Residential (20 beds)        | 24,000–32,000 SF          | <b>\$1.35M/yr</b>             | PA Medicaid HCBS / ODP waiver revenue                |
| <b>Zone C</b>                                                                                                                         | Workforce Training / Allied Health Education | 6,000–8,000 SF            | <b>\$180K–\$250K</b>          | DCED, WIOA, Widener University partnership           |
| <b>MaxWellness Chester Total ~80-100 residential units</b>                                                                            |                                              | <b>~86,000-106,000 SF</b> | <b>\$2.9M–\$3.2M gross/yr</b> | <b>PHFA LIHTC + CDFI + DCED RACP + philanthropic</b> |
| <b>Total Project Cost ROM:</b> \$20.5M–\$25.8M   <b>Net Operating Income (Yr 3):</b> ~\$1.1M–\$1.5M/yr   <b>Permanent Jobs:</b> 35–55 |                                              |                           |                               | Construction: 180–240 jobs (40% Merge4Ward)          |

### Platform Aggregate — 10-Year Horizon Summary

| PLATFORM COMPONENT                            | TOTAL INVESTMENT ROM                 | ANNUAL REVENUE / TAX ROM           | PERMANENT JOBS                    |
|-----------------------------------------------|--------------------------------------|------------------------------------|-----------------------------------|
| Pillar 1 — Clean Industrial Zone (Waterfront) | \$17M–\$33M                          | <b>\$10.45M–\$18.2M/yr</b>         | 85–155                            |
| Pillar 2 — MaxWellness Chester (DeShong)      | \$20.5M–\$25.8M                      | <b>\$2.9M–\$3.2M/yr gross</b>      | 35–55                             |
| Pillar 3 — Crozer Campus (future / TBD)       | Unknown — private developer; monitor | TBD pending developer intelligence | TBD                               |
| <b>Chester Clean Economy Platform Total</b>   | <b>\$37.5M–\$58.8M</b>               | <b>\$13.4M–\$21.4M/yr</b>          | <b>120-210 jobs</b>               |
| <b>Reworld Status Quo</b>                     | <b>\$0 new investment</b>            | <b>\$5M host fee only</b>          | <b>Minimal Chester employment</b> |

ROM figures ±30–40%. All revenue figures are gross before operating expenses. Net Operating Income requires project-level feasibility analysis. M4Di Phase 1A engagement produces verified project-level numbers within 12–14 weeks.

## Three Pillars. One Coherent Vision. Outside Capital Does the Work.

Chester does not need to write large checks. The strategy is designed around outside capital — federal grants, state programs, private clean-tech operators, LIHTC equity, and Medicaid revenue — flowing into Chester because Chester has positioned itself ahead of the opportunity. The City's role is to set the vision, endorse the team, and facilitate introductions. Merge 4 Design and M4Di do the predevelopment work. The operators build and operate the platform.

### What Chester Brings to the Table

- ▶ Political leadership and mayoral voice — the EJ closure narrative is national, and Mayor Roots is already cited in coverage. That is leverage.
- ▶ Site control and facilitation — DeShong parcel (DCIDA-managed), potential Reworld waterfront access as contracts unwind, county/state stakeholder relationships
- ▶ Permitting jurisdiction and zoning authority — Deshong Overlay already enables C-1/R mixed-use development on 40% of the parcel
- ▶ Community credibility — 30+ years of CRCQL advocacy and documented EJ harm create the moral authority that opens federal EJ capital
- ▶ County partnership — DCIDA is already managing the DeShong RFQ. Delaware County's zero-waste plan is politically aligned with this strategy

### What M4D / M4Di Brings to the Table

- ▶ Predevelopment intelligence — M4Di OI Tool produces verified ROM budgets, zoning pathway memos, risk registers, and capital stack roadmaps within 12-14 weeks
- ▶ Architecture and development delivery — M4D is the AOR and design lead. Aubyn Architecture provides licensed AOR capacity for PA permit submissions
- ▶ The MaxWellness model — already developed for Claymont DE; adapted to Chester's PA regulatory context (PHFA, ODP Medicaid waiver, PA DCED)
- ▶ The Forward Building System — Merge4Ward CLT/SIP panel supply positions Chester's manufacturing node as the first Mid-Atlantic regional producer
- ▶ Clean tech technology relationships — Ecolomondo (TDP/pyrolysis), Klean/KBR (TyreNova BOO), Nexus Circular; ready for site-specific conversations

**KEY POINT FOR MAYOR ROOTS** — The grant capital outlined above is not hypothetical. These programs exist, Chester qualifies for most of them, and the applications require mayoral endorsement and city facilitation to be competitive. A letter of support from the Mayor's office is not a financial commitment — it is what separates a funded application from an unfunded one.

## Three Horizons. Each Builds on the Last.

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| <p>NOW — Q3 2026</p> <p><b>Positioning &amp; Intelligence</b></p> <p>Immediate window</p> <p>Mayor endorsement letter drafted. M4D contacts Ecolomondo + Klean/KBR for site feasibility. DCIDA engagement confirms DeShong RFP status. M4Di G0 ROM locked on DeShong developable parcel. Intelligence gathered on Crozer buyer identity and program intent. Reworld contract expiration monitored.</p> | <p>Q4 2026 — 2027</p> <p><b>Phase 1A Feasibility</b></p> <p>12-14 weeks • grant-fundable</p> <p>M4Di Phase 1A engagement on DeShong and waterfront sites: code/zoning pathway, program test fits, verified ROM budgets, capital stack packaging, risk register. Delaware County zero-waste contract with Reworld expires end 2027 — timing aligns. First EPA EJ and EDA grant applications submitted with City endorsement.</p> | <p>2027-2029</p> <p><b>Procurement &amp; Design</b></p> <p>Capital stack assembled</p> <p>MaxWellness Chester design underway. PHFA LIHTC application filed. Clean Industrial Zone operator agreements executed. Merge4Ward manufacturing node site secured (Chester or Seaford — two-node Mid-Atlantic strategy). First EDA grant awards. Reworld waterfront site Phase I/II ESA commissioned pending closure timeline.</p> | <p>2029-2032+</p> <p><b>Construction &amp; Operations</b></p> <p>Permanent jobs • tax ratables</p> <p>MaxWellness Chester opens — 80-100 units, community clinic, training center. Clean Industrial Zone Phase 1 operational — pyrolysis facilities processing regional tire/plastic waste. Merge4Ward panels supplying Mid-Atlantic housing market. Chester waterfront development corridor unlocked. Mayor Roots' EJ reinvestment legacy established.</p> |
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#### SECTION 6 — WHAT WE ARE ASKING OF MAYOR ROOTS

### Three Asks. No City Appropriation Required. Each Opens the Next Door.

- Ask 1 — Mayoral Endorsement Letters for Clean Tech Partner Outreach:** A letter of support from Mayor Roots' office for Merge 4 Design's outreach to Ecolomondo, Klean/KBR, and Nexus Circular positioning Chester as the site for a U.S. flagship clean industrial facility. The Mayor's voice transforms a cold call into a City-sponsored conversation. We will draft the letter language; the Mayor's office approves and signs. We ask that Trevor be authorized to present this letter in introductory meetings on the Mayor's behalf.
- Ask 2 — Introduction to the Mayor's Finance / Economic Development Team:** A facilitated meeting with Chester's finance director, economic development staff, and any engaged DCIDA contacts to walk through the ROM numbers in this brief, stress-test the capital stack assumptions, and begin identifying which grant programs the City can actively pursue. This is a working session, not a presentation — we want to be corrected where we are wrong and calibrated where we are close.
- Ask 3 — DCIDA Facilitation for the DeShong RFP Process:** An introduction or facilitated connection to the DCIDA team managing the DeShong development solicitation (contact: [deshong@delcopa.org](mailto:deshong@delcopa.org)) to understand whether the RFP shortlist has been finalized and whether a MaxWellness Chester submission can be considered. If the round is closed, we want to understand the path to the next phase. Mayor Roots' relationship with DCIDA can open a door that a cold outreach cannot.

The Team Presenting This Strategy

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| <b>Merge 4 Design LLC</b><br>Architecture ·<br>Development · PM<br>Knight · Ainsworth · Lynch<br>· Davis | <b>M4Di™</b><br>Predevelopment Cost<br>Intelligence<br>OI Tool · FeasOps · ALDi | <b>Aubyn Architecture LLC</b><br>Architecture · AOR · PA<br>licensed<br>David C. Ainsworth, AIA | <b>Merge4Ward LLC</b><br>CLT/SIP Manufacturing<br>Forward Building System | <b>MaxWellness Model</b><br>Community Health +<br>Housing<br>In active development —<br>Claymont, DE |
|----------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------|

Prepared By & Contact

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*All ROM investment and revenue figures are preliminary estimates with ±30-40% confidence range. They are not guaranteed, not funded commitments, and not GMP. They are produced for concept-level conversation and to frame the scope of M4Di Phase 1A feasibility engagement, which will produce verified, project-level numbers within 12-14 weeks. All capital stack pathways require independent legal, financial, and grant counsel review before application. Brownfield site acquisition and remediation require Phase I/II ESA before any development commitment. Pennsylvania regulatory compliance (PHFA, ODP, PA DEP) requires PA-licensed counsel.*